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Establishing binding climate-change-related investor obligation clauses in international investment agreements: Obstacles and pathways

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Abstract

Given the current obstacles to host state climate regulation and the lack of oversight of investors' climate responsibilities, incorporating climate-change-related investor obligation clauses in international investment agreements (IIAs) is both legally justifiable and necessary. Such clauses would regulate investor behaviour while promoting a balance between the regulatory rights of host states and the protection of investors' interests. The voluntary status of traditional non-binding obligation clauses mean that they are inadequate for ensuring investor accountability. In recent years, there have been growing calls for binding investor obligation clauses in IIAs. However, such clauses face significant challenges in their practical application, including the value conflict in the positions of the Global North and South and difficulties in identifying investor responsibilities. By properly understanding the interaction between non-binding and binding investor obligations in IIAs, ensuring the joint application of non-binding and binding rules, setting specific model of climate-change-related investor obligation clauses, systematically optimising IIAs and promoting the coordinated development of domestic and international regulations, the implementation of climate-change-related investor obligations can be further advanced.

1 | INTRODUCTION

Early international investment agreements (IIAs) emphasised the protection of investors' rights. In recent years, as transnational corporations have become increasingly powerful in their investment activities, challenges to host state regulatory measures through international investment arbitration have become more frequent. This highlights the growing tension between investment protection and the enhancement of investors' social responsibilities.[1] With the surge of arbitration cases that challenge host state's climate regulation, host states have come to realise the importance of environmental public interests and have begun to pay attention to preserving regulatory space to carefully oversee the activities of foreign investors. Moreover, in the context of the evolving concept of green investment, the international community has also added new requirements to the international investment policy framework. These requirements call for the balance between the rights of the host state and foreign investors to be given close attention in IIAs in order to promote the sustainable development of the host state.[2]

Investor obligation clauses that have been incorporated into the new generation of IIAs include those related to climate governance, environmental and human rights protection. This represents a gradual evolution of IIAs in terms of their function and value orientation as it marks a shift from a focus solely on protecting the private rights and

[1] Y Zhu, 'Corporate Social Responsibility and International Investment Law: Tension and Reconciliation' (2017) 1 Nordic Journal of Commercial Law 91, 96.

[2] J Xiao, 'How Can a Prospective China–EU BIT Contribute to Sustainable Investment: in Light of the UNCTAD Investment Policy Framework for Sustainable Development' (2015) 8 Journal of World Energy Law and Business 521, 523.

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interests of foreign investors to balancing and reconciling the interests of both host states and investors. The United Nations Conference on Trade and Development (UNCTAD) is now encouraging states to reform and redraft IIAs to incorporate more investor obligations related to sustainable development.[3] In the investment treaty practices of various states, mandatory clauses have gradually emerged that impose binding obligations on investors related to human rights and the environment.[4] This article seeks to address the overarching question: How can binding climate-change-related investor obligations be systematically incorporated into IIAs to balance environmental governance goals with the legal and practical constraints of international investment frameworks? Specifically, what are the legal bases and reasons for establishing binding climate-change-related investor obligation clauses in IIAs? What are the features, strengths and limitations of the non-binding and binding investor obligation clauses in IIAs? What are the challenges in applying binding climate-change-related investor obligation clauses in practice? What are some policies that may further promote the inclusion of binding climate-change-related investor obligation clauses in IIAs?

To address these questions, this article delves into the intricacies of non-binding and binding climate-change-related investor obligation clauses. We argue that while traditional non-binding obligation clauses, such as corporate social responsibility (CSR) clauses, are intended to urge investors to fulfil their responsibilities, they are less effective at ensuring investor accountability due to their voluntary status. This is due to the uncertainty of the content of non-binding clauses themselves. Such clauses may further lead to ambiguity and complexity in the arbitral tribunal's award and increase the arbitral tribunal's discretion in interpretation. Given the current obstacles to host state climate regulation and the lack of oversight of investors' climate responsibilities, it is both legally justifiable and necessary to include legally binding climate-change-related investor obligation clauses in IIAs to more effectively regulate investor behaviour and promote a balance between the interests of host states and investors. There are, however, significant challenges in the practical application of binding climate-change-related investor obligation clauses, including conflicts centred on the differing values of Global North and South states and difficulties in determining investor responsibilities. To address these challenges, this article proposes a balanced application of non-binding and binding investor obligation clauses, setting a specific model of climate-change-related investor obligation clauses, enhancing the content of climate-related investor obligations through the systematic optimisation of IIAs, and simultaneously promoting the coordinated development of domestic and international regulatory frameworks.

The article proceeds as follows: Section 2 discusses the classification and development prospects of climate-change-related investor obligation clauses in IIAs. Section 3 analyses the legal basis and the necessity for establishing binding investor obligation clauses. Sections 4 and 5, respectively, examine the deficiencies in applying non-binding investor obligation clauses and the challenges of establishing binding climate-change-related investor obligation clauses. Section 6 proposes suggestions to further develop binding climate-change-related investor obligation clauses to encourage transnational investors to better fulfil their obligations in combating climate change. Section 7 concludes.

2 | CLASSIFICATION AND DEVELOPMENT OF A CLIMATE-CHANGE-RELATED INVESTOR OBLIGATION CLAUSE

International law discussions concerning the imposition of obligations on transnational investors, as private entities, has become increasingly prominent in the context of current international investment system reform. From the introduction of the OECD Guidelines for Multinational Enterprises in 1976, as an early international 'soft law' attempt to regulate the behaviour of transnational corporations, to the adoption of resolutions by the United Nations Human Rights Council aimed at drafting a legally binding international instrument on the human rights responsibilities of transnational corporations and other business enterprises, the international community has seen a gradual shift in preference from non-binding to binding methods of regulating the conduct of transnational corporations. In this context, UNCTAD's call for the inclusion of investor obligation clauses in IIAs has also shown a tendency toward 'hard law'. In the 2015 Investment Policy Framework for Sustainable Development, UNCTAD proposed that sustainable-development-friendly IIAs should clearly define investor obligations and include both mandatory provisions requiring investors to comply with a host state's laws and regulations prior to their establishment and thereafter as well as soft provisions encouraging investors to adhere to applicable CSR standards.[5] By 2023, UNCTAD had developed binding obligations related to CSR, emphasising that energy investors be required to comply with obligations related to human rights, labour, environmental and anti-corruption standards and specifically obliging energy investors to comply with requirements for sustainable investment, such as conducting environmental impact assessments (EIAs) and maintaining environmental management, transforming these actions from voluntary to mandatory standards.[6] Recent years have seen advocates shift to calling for legally binding investor obligations.

2.1 | Classification of investor obligation clauses

Investor obligation clauses comprise 'compliance with the laws' clauses that require investment to comply with the laws of the host sate, and the obligation clauses specifically set forth in IIAs, including

[3]UNCTAD, 'Investment Policy Framework for Sustainable Development' (2015) <https://unctad.org/system/files/official-document/diaepcb2015d5_en.pdf> 77–78.

[4]See Morocco–Nigeria BIT (2016) (adopted 3 December 2016) arts 14 and 18, Draft Pan-African Investment Code (2016) (adopted 1 December 2016) art 19.

[5]UNCTAD (n 3) 109–110.

[6]UNCTAD, 'Trends in the Investment Treaty Regime and a Reform Toolbox for the Energy Transition' (2023) <https://unctad.org/system/files/official-document/diaepcbinf2023d4_en.pdf> 16.

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independent investor binding obligation clauses and obligation clauses that contain international soft law standards.[7] The specific content of investor obligations in IIAs is diverse, covering areas such as CSR, human rights, labour, the environment, corporate governance and anticorruption.[8] Clauses related to sustainable development are mainly found in the new generation of IIAs, although not all newer IIAs include such obligations. According to UNCTAD, only 13% of the IIAs signed between 2020 and 2023 contained investor obligations,[9] and even fewer of them contained binding clauses.

Significant differences are apparent across IIAs in relation to where the investor obligation clause appears in the IIA (i.e. whether in the body of the agreement or in the preamble), the mandatory or voluntary wording used, and how the obligation is to be enforced. These differences fundamentally determine the extent to which a clause has a legal binding effect and effectiveness in practice. This in turn influences the outcomes of IIA reforms aimed at balancing investor protection and host states' regulatory rights. In general, investor obligation clauses can be categorised as binding or non-binding depending on their legal effect. This article focuses on binding investor obligation clauses that appear in the body of IIAs. The binding investor obligations clauses can not only help reconstruct the existing international investment system for greater balance in the interests between investors and host states; such clauses also aim to substantively enhance investor accountability through the international investment arbitration mechanism.[10]

The binding character of investor obligations can be assessed from the following three perspectives. First, the placement of investor obligation clauses in the preamble or the main body of an IIA serves as a significant indicator of the stringency of these obligations. Investor obligation clauses in the preamble typically involve the contracting parties' commitment to CSR; generally, more investor obligation clauses appear in the preamble than in the main body. Taking CSR clauses as an example, according to UNCTAD statistics, out of 2592 IIAs, 234 included CSR clauses in their preambles, whereas only 41 addressed them in the main treaty body.[11] The Vienna Convention on the Law of Treaties (VCLT) lists the inclusion of clauses in the preamble as the primary element to be considered in treaty interpretation, emphasising the reference value of the preamble in understanding the objective or purpose of a treaty while also leaving sufficient space for the preamble to play a substantial role in treaty interpretation.[12] In practice, however, the interpretation of the preamble by arbitral tribunals has not been sufficient to identify legal obligations under the treaty.[13] Therefore, even though some IIAs mention investor obligations in their preambles, these references do not have a legal binding force on investors, and thus, they play only a minimal role in addressing the considerable imbalances in the international investment regime.

Second, in terms of how investor obligations are imposed, investor obligation clauses can be categorised as indirect and direct obligation clauses.[14] Indirect clauses do not directly target investors but instead designate the host state or the investors' home state as the duty-bearer, requiring them to take measures to regulate and guide the behaviour of private investors.[15] Such clauses usually require states to incentivise enterprises operating in their domain to embed globally acknowledged CSR benchmarks into their organisational conduct and policy-making processes on a voluntary basis. This indirect regulatory approach is the most common method for incorporating CSR in the new generation of IIAs. According to UNCTAD statistics, 82% of the CSR clauses in the 62 G20 + IIAs signed between 2019 and 2023 adopted this indirect approach.[16] As investor obligations do not arise directly from the IIA but rather from the domestic laws of the host or home state, the effectiveness of such clauses fundamentally depends on the willingness of the states to implement laws and policies to regulate investor behaviour.

In contrast, direct obligation clauses explicitly designate investors as the duty-bearers, requiring the investor and its investment to follow certain principles or standards—these clauses are more likely to have substantial binding force on investors.[17] For instance, article 12.1 of the Brazil-India BIT (2020) stipulates that 'Investors and their investments shall strive to achieve the highest possible level of contribution to the sustainable development of the Host State and the local community.' Similar rules directly targeting investor obligations are also reflected in CSR clauses related to corporate governance, environmental protection, labour rights, human rights or taxation.[18] Although the legal binding force of these two types of obligations appears similar, the aforementioned differences impact whether, in practical investment arbitration, a tribunal can directly assess investor behaviour based on the obligation standard without first evaluating whether the contracting states have adopted relevant incentive policies.[19]

[7]M Krajewski, 'A Nightmare or a Noble Dream? Establishing Investor Obligations Through Treaty-Making and Treaty-Application' (2020) 5 Business & Human Rights Journal 105, 119; See also, X Shao, 'Environmental and Human Rights Counterclaims in International Investment Arbitration: at the Crossroads of Domestic and International Law' (2021) 24 Journal of International Economic Law 157, 164.

[8]B Choudhury, 'Investor Obligations for Human Rights' (2020) 35 ICSID Review - Foreign Investment Law Journal 82, 88.

[9]UNCTAD (n 6) 5.

[10]P Ranjan, 'Investor Obligations in Investment Treaties: Missing Text or a Matter of Application?' in J Ho and M Sattorova (eds), *Investors' International Law* (Hart Publishing 2021) 125, 148–149.

[11]UNCTAD, 'International Investment Agreements Navigator: Mapping of IIA Content' <https://investmentpolicy.unctad.org/international-investment-agreements/iia-mapping>. UNCTAD's IIA mapping tool only covers BITs signed between 1959 and 2019 and does not include provisions of the recent agreements, nor does it cover treaties that include investment provisions, such as investment chapters in FTAs.

[12]MH Hulme, 'Preambles in Treaty Interpretation' (2015) 164 University of Pennsylvania Law Review 1281, 1300.

[13]ibid 1305 and 1320.

[14]Krajewski (n 7) 114.

[15]K Nowrot, 'The Other Side of Rights in the Processes of Constitutionalizing International Investment Law: Addressing Investors' Obligations as a New Regulatory Experiment' (2018) 21 Rechtswissenschaftliche Beiträge der Hamburger Sozialökonomie, 17. See also the New Zealand - United Kingdom FTA (2022) (adopted 28 February 2022, entered into force 31 May 2023) art 14.9.

[16]UNCTAD and OECD, 'Mapping sustainable development and investment facilitation provisions in IIAs concluded by G20 Members and invited countries' (2024) <https://unctad.org/system/files/official-document/unctad_oecd-2024-g20-iias_en.pdf> 10.

[17]Nowrot (n 15) 12.

[18]See Brazil - India BIT (2020) (adopted 25 January 2020) art 12, Australia - United Kingdom FTA (2021) (adopted 17 December 2021, entered into force 31 May 2023) art 21.7.

[19]Krajewski (n 7) 119.

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Finally, the wording of agreement clauses conveys the strictness of investor obligations. These obligations are diverse and presented using a range of languages. For example, provisions on investor obligations in areas that pose a serious threat to public order in the host state, such as anti-corruption, tend to be more coercive,[20] whereas clauses related to CSR commonly employ advisory language, such as article 12.1 of Brazil-India BIT (2020). In recent years, some IIAs have begun to impose explicit obligations on investors in areas like environmental protection and corporate governance, requiring compliance with environmental assessment procedures applicable to proposed projects before establishment and adherence to relevant legal requirements of the host or home state. For instance, article 32 of the African Continental Free Trade Area Investment Protocol (AfCFTA) stipulates that 'Investors and their investments *shall* carry out their operations in compliance with all relevant domestic laws and regulations, administrative guidelines as well as applicable international law.' The gradual hard law trend in the wording of investor obligation clauses, evident in the replacement of advisory terms such as 'making efforts' or 'encourage' with binding language such as 'shall,' reflects the evolving trend of IIAs to balance investor protection with the regulatory rights of host states.[21]

2.2 | Development of climate-change-related investor obligation clauses

As early as the 2010 World Investment Report, UNCTAD emphasised the need for the international investment regime to contribute to efforts to address climate change and called for the inclusion of climate-friendly clauses in future IIAs to ensure alignment between IIAs and the development of international climate policies.[22] Driven by the urgency of addressing climate change and the adverse impact of numerous investor–state dispute settlement (ISDS) claims on host states' climate regulations, the issue of climate change has become a central concern for policymakers in the area of IIAs.[23]

A review of the texts of new-generation IIAs reveals that clauses specifically addressing climate action typically appear in free trade agreements (FTAs) that have investment chapters. Climate-related clauses are mainly found in preambles, investment facilitation clauses, clauses promoting climate-friendly investment, clauses concerning host states' regulatory rights, low-carbon economy transition clauses, climate action cooperation clauses and general exception clauses.[24] Despite some progress in aligning international investment regime reforms with climate change objectives, most IIAs merely reaffirm states' regulatory rights concerning climate change, reiterate their commitments to addressing it, or simply encourage parties to enhance cooperation on climate change policies and measures related to investment.[25] Such climate change clauses provide a context for interpreting other substantive obligations, but do not constitute binding obligations on host states or investors to take certain substantive measures.[26] In regard to establishing investment regulation or investor obligation clauses, even entities that are leaders in climate governance, such as the European Union (EU), exhibit international investment practices that do not align with their climate ambitions.[27] Although there is a strategic EIA obligation closely related to the environment and climate in the current FTAs and IIAs of the EU, the obligation applies only to the contracting parties and does not directly target investors; moreover, the regulation of the obligation involving investors is still determined by the domestic law of each contracting party.[28] Although there is a reference to CSR in the EU–China Comprehensive Investment Agreement, the clause is relatively modest and does not impose strict obligations on investors, let alone establish binding investor obligations explicitly related to climate change.[29]

It is worth noting that in recent years, a small number of binding investor obligation clauses in IIAs or model IIAs—concerning sustainable development and environmental protection although not directly mentioning climate change—have played a positive role in promoting the development of climate-change-related investor obligations. For instance, the 2005 Model International Investment Agreement on Sustainable Development (IISD Model) was the first model agreement to propose the inclusion of investor obligations.[30] Since then, the 2008 Economic Community of West African States (ECOWAS) Investment Supplementary Act[31] and the 2012 Southern African Development Community (SADC) Model BIT[32] have established special chapters on investor obligations in areas such as compliance

[20]See Indonesia–Switzerland BIT (2022) (adopted 24 May 2022, entered into force 1 August 2024) art 14. See also, YM Yan, 'Anti-Corruption Provisions in International Investment Agreements: Investor Obligations, Sustainability Considerations, and Symmetric Balance' (2020) 23 Journal of International Economic Law 989, 994.

[21]Ranjan (n 10) 149.

[22]UNCTAD, 'World Investment Report 2010: Investing in a Low-Carbon Economy' (2010) <https://unctad.org/system/files/official-document/wir2010_en.pdf> 136.

[23]J Paine and E Sheargold, '2022 in Review: Climate Change as a Mainstream Issue for Investment Treaty Policymakers' (26 January 2023) <https://arbitrationblog.kluwerarbitration.com/2023/01/27/2022-in-review-climate-change-as-a-mainstream-issue-for-investment-treaty-policymakers/>.

[24]UNCTAD, 'The International Investment Treaty Regime and Climate Action' (2022) <https://unctad.org/system/files/official-document/diaepcbinf2022d6_en.pdf> 8–12.

[25]ibid 9.

[26]XY Fan 'Combating Climate Change: International Investment Agreements' Reform and Outlook' (2024) Chinese Review of International Law 61, 66.

[27]M Gehring and M Tokas, 'Synergies and Approaches to Climate Change in International Investment Agreements: Comparative Analysis of Investment Liberalization and Investment Protection Provisions in European Union Agreements' (2022) 23 Journal of World Investment & Trade 778, 805.

[28]ibid 787.

[29]EU-China Comprehensive Agreement on Investment (adopted 30 December 2020) <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china/eu-china-agreement/eu-china-agreement-principle_en> See Section IV: Investment and sustainable development, art 2 Corporate Social Responsibility.

[30]H Mann et al, 'IISD Model International Agreement on Investment for Sustainable Development' (2nd edn, IISD 2005) <https://www.iisd.org/system/files/publications/investment_model_int_agreement.pdf> Part 3: Obligations and Duties of Investors and Investments.

[31]ECOWAS Supplementary Act on Investments (2008) (adopted 19 December 2008, entered into force 19 January 2009) <https://investmentpolicy.unctad.org/international-investment-agreements/treaty-files/3266/download> Chapter III: Obligations and Duties of Investors and Investment.

[32]Southern African Development Community (SADC), 'SADC Model Bilateral Investment Treaty Template with Commentary' (SADC 2012) <https://www.iisd.org/itn/wp-content/uploads/2012/10/SADC-Model-BIT-Template-Final.pdf> Part 3: Rights and Obligations of Investors and State Parties.

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with national laws, protecting human rights, conducting EIAs, and complying with international standards of corporate governance.

Since UNCTAD explicitly called for the inclusion of investor obligations in its 2015 Investment Policy Framework for Sustainable Development, the number of IIAs with binding investor obligations on sustainable development and environmental protection has increased. For instance, the Morocco–Nigeria BIT (2016) stands out for its innovations in environmental governance and corporate management, particularly in due diligence and risk management.[33] Article 14(3) of the BIT provides that '[i]nvestors, their investment and host state authorities shall apply the precautionary principle to their environmental impact assessment and to decisions taken in relation to a proposed investment.' Article 19 of the 2016 Draft Pan-African Investment Code also imposes a number of binding investor obligations such as disclosure of risks related to investors' environmental liability. The most up-to-date 2023 African Continental Free Trade Area (AfCFTA) Investment Protocol, which specifically establishes a chapter on investor obligations and includes more detailed requirements for investors' binding obligations such as complying with the prevention and precaution principles, carrying out EIAs, taking steps to mitigate environmental harm, provides a template for the development of investor obligations clauses in IIAs, and is of reference significance.[34] Overall, non-binding obligations on investors, such as CSR clauses, are still the mainstream. Binding obligations related to environmental protection have, however, also received certain space in agreement texts, and some clauses have shown great potential for addressing the challenge of climate change. This provides a legal basis for the further development of binding climate-change-related investor obligations.

3 | JUSTIFICATION FOR AND NECESSITY OF ESTABLISHING BINDING CLIMATE-CHANGE-RELATED INVESTOR OBLIGATION CLAUSES

Binding investor obligation clauses are most likely to become the legal basis for a host state filing a counterclaim in an investment dispute and are most likely to affect the arbitral tribunal's determinations of jurisdiction and liability and the calculation of damages against the investor. Such clauses are also the most promising for correcting the imbalance between the regulatory rights and investor protection interests of the international investment system in the host state. To effectively address the challenges of the international investment regime and combat climate change, establishing binding climate-change-related investor obligation clauses in IIAs is necessary.

3.1 | Legal basis for establishing binding climate-change-related investor obligation clauses

The status of IIAs as trilateral treaties and the mixed legal nature of IIAs do not prevent the contracting parties from incorporating climate-change-related investor obligation clauses in IIAs. Structurally, IIAs can be understood as a trilateral treaty, with sovereign states, through the agreements, creating enforceable rights for investors as non-sovereign third-party beneficiaries.[35] As IIAs are theoretically treaties concluded between sovereign states, they thus possess the attributes of international public law. The rights enjoyed by investors under IIAs are therefore conditional and limited by the original intent of the contracting states.[36] However, at the same time, IIAs cannot be understood as having *only* public law attributes. Unlike traditional treaties, IIAs create investment protection rights and set forth principles for investors. Simultaneously, insofar as international investment disputes primarily involve vertical regulatory relationships between host states and private investors and IIAs are instruments through which sovereign states confer rights on non-sovereign entities, the principles of public law limit the application of private law contract principles concerning third-party interests in the investment domain.[37] Therefore, the principle of equal private law holding the principle that 'the parties to a contract have no right to create obligations for a third party without the consent of the third party' cannot be applied in the context of IIAs. Contracting states have the authority to modify the rights of private entities and to establish their obligations.[38]

Further, the creation of investor obligations in IIAs cannot be questioned simply because investors are not subject to international law, as modern public international law is not so limited in scope.[39] Transnational corporations are playing an increasingly active and significant role in international society and relations. However, they are also widely regarded as the primary culprits behind many major environmental disasters and the leading polluters of the global environment. Consequently, the debate over whether transnational corporations should be recognised as subjects of international law and held accountable for corresponding international responsibilities is gaining momentum.[40] The Paris Agreement has recognised that climate change is a global responsibility that requires the participation of governments and various actors, including transnational enterprises.[41] In the case of *Milieudefensie et al v Royal Dutch Shell*, the Dutch court expanded the responsibility for reducing greenhouse gas emissions under the Paris Agreement to include private enterprise,

[33]M Scherer, S Bruce and J Reschke, 'Environmental Counterclaims in Investment Treaty Arbitration' (2021) 36 ICSID Review-Foreign Investment Law Journal 413, 437.
[34]AfCFTA Protocol on Investment (2023) (adopted 5 February 2023) <https://edit.wti.org/document/show/e5d51824-c467-4e24-922b-3fb376d89550> art 34.

[35]A Roberts, 'Triangular Treaties: The Nature and Limits of Investment Treaty Rights' (2015) 56 Harvard International Law Journal 353, 356.
[36]C Ge, 'The Deconstruction of the Nature of Investors' Rights and the Innovation of International Investment Agreements' (2018) Jiangxi Social Sciences 192, 195.
[37]ibid 356 and 374.
[38]Ge (n 36) 195.
[39]K Nowrot, 'Legal Consequences of Globalization: The Status of Non-governmental Organizations under International Law' (1999) 6 Indiana Journal of Global Legal Studies 579, 621.
[40]See E Morgera, *Corporate Accountability in International Environmental Law* (2nd edn, Oxford University Press 2020) 60–67.
[41]UNFCCC 'Decision 1/CP.21, Adoption of the Paris Agreement' UN Doc CCC/CP/2015/10/Add.1 (29 January 2016) paras 117, 133 and 134.

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emphasising that achieving emissions reductions and mitigating global warming cannot rely solely on state action. Although the initial ruling of the case was overturned, this decision does not materially change the prospect of liability for transnational corporations.[42] Enterprises should actively contribute to fulfiling national voluntary commitments and collaborate with other stakeholders to achieve the goal of net-zero emissions by 2050.[43]

IIAs are an effective means of promoting economic development and efficiently maximising economic gains for both home and host states.[44] The protection of investors should not extend beyond what is necessary to promote effective investment, nor should it hinder the balance between promoting investment and achieving other welfare objectives.[45]The imbalance in the distribution of investor rights and obligations in IIAs has existed since the first execution of such agreements, and this inequality was justified in light of the historical context of the early development of IIAs. However, the special protections afforded to investors in IIAs have increasingly been subject to abuse, exceeding the scope necessary to promote effective investment.[46] Moreover, given that the host states and investors share investment returns, requiring investors to simultaneously bear investment risks along with host states is reasonable.[47] In the context of a new era in which changes in the international economic landscape are intertwined with global challenges such as climate change, incorporating investor obligations into IIA reform efforts aligns with the evolving imperative to address climate change and would promote a balance between investor rights and obligations. It also signifies a shift from the highly liberalised neoliberal paradigm to the embedded liberalism paradigm that emphasises economic stability and social security and reflecting the penetration of the modern international law imperative to pursue global justice into the realm of international investment law.[48]

Moreover, the emphasis on investor climate action in international climate change law and the implementation of climate initiatives in international investment practices also provide legal support for regulating investor activities in light of climate governance objectives. The international community has reached a clear consensus that transnational corporations are key targets and participants in climate governance, and the role of private capital flows in financing and technology transfers is a fundamental determinant of the fulfilment of government commitments under the Paris Agreement.[49] For example, Article 2.1 of the Paris Agreement explicitly emphasises the importance of 'making finance flows consistent with a pathway towards low greenhouse gas emissions and climate-resilient development'. To provide clear support for investors' climate action, numerous international non-binding instruments have established specific requirements and standards for investors to meet their climate obligations. For example, the Principles for Responsible Investment require investors to incorporate ESG (environmental, social and governance) factors into their investment analysis and decision-making processes, actively supporting and promoting climate action through risk management and information disclosure.[50] Multiple international organisations focused on climate change have also joined forces to develop the Investor Climate Action Plans Expectations Ladder, which aims to consolidate existing best practices and guidelines for investor climate action to help investors gradually enhance the depth and breadth of their climate-related activities.[51] Focusing on investor climate obligations in climate governance is not only a requirement of international climate law but is also a necessary measure to mitigate climate risks and ensure long-term investment interests.[52]

3.2 | Need to establish binding climate-change-related investor obligation clauses

3.2.1 | Enhancing accountability for transnational investors

Binding investor obligation clauses can leverage the international investment arbitration mechanism to enhance investor accountability. First, as the most common type of clause in IIAs that impose binding obligations on investors, 'compliance with laws' clauses can influence an arbitral tribunal's determination of jurisdiction over cases. Most IIAs provide that investment is premised on the fact that the investment has been made in accordance with the laws and regulations of the host state.[53] In cases such as *Inceysa v El Salvador* and *Fraport v Philippines*, the tribunal held that it lacked jurisdiction over the investments violating domestic laws.[54] In practice, investor conduct, such as obtaining investments by concealing EIA results or failing to identify

[42]Milieudefensie et al v Royal Dutch Shell PLC, The Hague Court of Appeal, 200.302.332/01 (English translation), Judgement (12 November 2024) para 7.111.
[43]Milieudefensie et al v Royal Dutch Shell PLC, District Court of The Hague, C/09/571932/HA ZA 19–379 (English Version), Judgement (26 May 2021) paras 4.4.26, 4.4.34, 4.4.52.
[44]Roberts (n 35) 376–377.
[45]ibid 379–380.
[46]L Mehranvar and L Sachs, 'The Role and Relevance of Investment Treaties in Promoting Renewable Energy Investments' in A Ipp and A Magnusson (eds), Investment Arbitration and Climate Change (Wolters Kluwer 2024) 263, 267–268.
[47]F Gu, 'Theoretical and Empirical Analysis of Investor's Due Diligence in International Investment Arbitration' (2024) 5 Chinese Review of International Law 77, 87.
[48]M Sornarajah, *Resistance and Change in the International law on Foreign Investment* (Cambridge University Press 2015) 417–418.
[49]The Investor Agenda, '2022 Global Investor Statement to Governments on the Climate Crisis' (2022) <https://www.capdyn.com/Customer-Content/www/news/PDFs/2022-Global-Investor-Statement-.pdf> 3.
[50]PRI, 'Principles for Responsible Investment: Investor Initiative in Collaboration with the United Nations Environment Programme Finance Initiative and the United Nations Global Compact' (2021) <https://www.unpri.org/download?ac=10968>.
[51]The Investor Agenda, 'Investor Climate Action Plan (ICAPS) Ladder of Expectations' (2021) <https://www.aigcc.net/wp-content/uploads/2021/11/expectations-ladder-english-1.pdf>
[52]The Investor Agenda (n 49) 1.
[53]UNCTAD Investment Policy Hub, 'International Investment Agreements Navigator: Mapping of IIA Content' <https://investmentpolicy.unctad.org/international-investment-agreements/iia-mapping>. 1656 out of 2592 mapped treaties include such a requirement in the definition of investment.
[54]Inceysa Vallisoletana S.L. v Republic of El Salvador, ICSID Case No. ARB/03/26, Award, paras 230–257. The case concerns the Spanish company Inceysa, whose vehicle inspection service contract in El Salvador was terminated due to fraud during the bidding process. The tribunal ruled that Inceysa's investment was not legally compliant and dismissed all its claims. See also, Cortec Mining v Kenya, ICSID Case No ARB/15/29, Award, 22 October 2018, para 333. The investor acquired a mining licence for Mrima Hill, which was later revoked by the Kenyan government for failing to comply with the Environmental Management and Coordination Act. The tribunal ruled it lacked jurisdiction to hear the claims as the investment had not adhered to Kenyan legal requirements.

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and address human rights and climate risks before establishing a project, may affect their rights to bring a claim.

Second, binding investor obligations clauses, other than those related to 'compliance with laws' clauses, are generally not considered as prerequisites for the tribunal's jurisdiction[55]; instead, they come into play during the merits phase. During the merits phase, binding investor obligation clauses are the most likely to influence a tribunal's calculation of climate damages against an investor. Based on the Articles on Responsibility of States for Internationally Wrongful Acts and the doctrine of contributory negligence in domestic tort law, the application of the principle of contributory negligence in international investment arbitration allows tribunals to comprehensively consider the foreign investor's intentional or negligent actions when determining the amount of compensation to award.[56] In practice, many arbitral tribunals have relied on the doctrine of contributory negligence to address improper investor behaviour and have correspondingly reduced the amount of compensation awarded to claimants.[57] However, a series of outcomes have demonstrated that arbitral tribunals exhibit inconsistency and uncertainty when applying the contributory negligence principle to evaluate investor conduct and apportion liability between parties.[58] One of the main reasons for this is the absence of a clear standard of investor conduct in IIAs.[59] The establishment of explicit and specific investor obligation clauses in IIAs, particularly the setting of standards for investor climate action, could provide arbitral tribunals with benchmarks for adjudicating climate-change-related cases and applying contributory negligence principles in determining obligations and compensation amounts.

Third, binding investor obligation clauses are also most likely to serve as the basis for host states to file climate counterclaims in climate investment disputes. Compared to offsetting damages, the counterclaim mechanism can more effectively enhance accountability of investors. A host state's climate counterclaim is premised on the investor's climate-related obligations toward the host state.[60] Once the applicable law for arbitration is determined, the host state must specify the obligations of the foreign investor under the applicable law, such as climate change-related information disclosure obligations.[61] If the clauses regarding the climate obligations of transnational investors are too vague, this may not provide investors with clear benchmarks for compliance, thus rendering these provisions more aspirational than practical.[62] In practice, the determination of investor obligations in arbitration faces significant challenges. On the one hand, counterclaims brought by the host state based on domestic law are usually rejected by arbitral tribunals. For example, in *Rusoro v Venezuela*, the tribunal dismissed Venezuela's counterclaim, reasoning that the investor's obligation to adhere to the mining plan was solely governed by domestic law and was not referenced in the BIT.[63] In *Anglo-American v Venezuela*, the tribunal also declined to adjudicate the counterclaim because it was based solely on Venezuelan domestic law rather than the relevant agreements or international law.[64] The decisions in the aforementioned cases suggest that relying solely on domestic legislation is insufficient to ensure that a tribunal recognises a breach of obligations under domestic law by the investor as directly constituting a breach of their obligations under the IIA.[65] On the other hand, existing international law and fundamental principles of international law do not clearly define investors obligations concerning environmental protection and human rights. In the absence of a binding treaty on business and human rights, it remains to be seen whether international environmental and climate laws, which are currently expressed as declarations and initiatives with soft law characteristics, can genuinely have a binding effect on investors. The *Urbaser v Argentina*[66] and *David Aven v Republic of Costa Rica*[67] cases both involved counterclaims by host states related to environmental and human rights issues; these cases suggest the potential for recognising investor obligations under international law, but the number of such cases remains very limited in practice. The large number of investment arbitration cases in which human rights

[55]M Jarrett, S Puig and S Ratner, 'Towards Greater Investor Accountability: Indirect Actions, Direct Actions by States and Direct Actions by Individuals' (2023) 14 Journal of International Dispute Settlement 259, 265.

[56]JM Marcoux and AK Bjorklund, 'Foreign Investors' Responsibilities and Contributory Fault in Investment Arbitration' (2020) 69 International & Comparative Law Quarterly 877, 888–889.

[57]See Hulley Enterprises Limited (Cyprus) v Russia, PCA Case No AA 226, Final Award (18 July 2014); Copper Mesa Mining Corporation v Ecuador, PCA Case No 2012–2, Award (15 March 2016).

[58]Marcoux and Bjorklund (n 56) 880.

[59]ibid 888.

[60]UNCITRAL, 'Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its thirty-seventh session (New York, 1–5 April 2019)' UN Doc A/CN.9/970 (9 April 2019) paras 34–35.

[61]T Gleason, 'Examining Host-State Counterclaims for Environmental Damage in Investor-State Dispute Settlement from Human Rights and Transnational Public Policy Perspectives' (2021) 21 International Environmental Agreements: Politics, Law and Economics 427, 432.

[62]C Baltag, R Joshi and K Duggal, 'Recent Trends in Investment Arbitration on the Right to Regulate, Environment, Health and Corporate Social Responsibility: Too Much or Too Little?' 38 ICSID Review - Foreign Investment Law Journal 381, 412.

[63]Rusoro Mining Ltd. v Bolivarian Republic of Venezuela, ICSID Case No. ARB(AF)/12/5, Award (22 August 2016) para 628. The investor claimed that Venezuela, through its nationalisation policy and related measures, had unlawfully expropriated its mining assets in the state. In response, Venezuela filed a counterclaim, asserting that the investor had failed to adhere to the agreed-upon mining plan, thereby jeopardising the mine's future profitability, and sought damages for the losses.

[64]Anglo-American plc v Bolivarian Republic of Venezuela, ICSID Case No. ARB(AF)/14/1, Award (18 January 2019) paras 529–530. The investor claimed that a series of actions taken by Venezuela, including the expropriation of property and non-payment of VAT refunds, violated several protective provisions of the IIA. In response, Venezuela filed a counterclaim, alleging that the investor's subsidiaries had failed to meet their obligations as mining concessionaires and sought damages for the losses.

[65]D Ding and YX Zhang, 'Environmental Counterclaims in International Investment Arbitration: Dilemma and the Way Out' (2023) Business and Economic Law Review 54, 65.

[66]Urbaser SA and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v The Argentine Republic, ICSID Case No. ARB/07/26, Award (8 December 2016) paras 1191–1220. The investor filed a claim against Argentina, alleging that a series of measures taken by the state caused a significant decline in the value of its investment. In response, Argentina counterclaimed, asserting that the investor had failed to meet its obligations under the water concession, particularly regarding the provision of sustainable and adequate water supply and wastewater treatment services. The tribunal held that transnational corporations could not continue to be considered exempt from international law.

[67]David R Aven, Samuel D Aven, Giacomo A Buscemi and others v Republic of Costa Rica, ICSID Case No. UNCT/15/3, Award of the Tribunal (18 September 2018) paras 732–734. The investor initiated the arbitration after its tourism project in Costa Rica was halted due to government actions. In response, Costa Rica filed a counterclaim, accusing the investor of causing negative environmental impacts and violating domestic regulations as well as environmental protection obligations under international customary law. While ultimately rejecting the host State's counterclaims, the tribunal argued that the notion that international investors are not governed by international law should be rejected when it comes to rights and obligations of common global concern (e.g., environmental protection).

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defences have failed indicates that arbitral tribunals tend to dismiss issues on procedural grounds rather than directly addressing substantive public law matters related to human rights and environmental concerns.[68]

3.2.2 | Resolving obstacles to host States' climate regulation

To fulfil international climate agreement obligations and effectively address climate change through mitigation or adaptation, governments have implemented numerous measures to incentivise investment in low-carbon sectors while also establishing regulations to restrict or eliminate investments in high-energy-consumption, high-emission and high-pollution areas. Such measures inevitably harm the interests of foreign investors whose investments do not align with low-carbon characteristics or fail to meet greenhouse gas emission standards.[69] Climate-change-related investment disputes are therefore becoming increasingly prevalent in international investment arbitration, with investors in the fossil fuel and mineral resource sectors increasingly relying on ISDS to seek compensation relating to host states' climate regulatory measures.[70] According to 2023 data from the UNCTAD, since the establishment of the international investment arbitration regime, there have been over 219 ISDS cases related to fossil fuels (accounting for over 15%) and more than 119 ISDS cases related to renewable energy.[71] The amounts claimed in ISDS cases have usually been substantial. For example, Spain, which has faced the largest number of renewable energy arbitrations and adverse rulings to date, has unpaid awards with a total balance reaching roughly $1.3 billion.[72] The urgency of climate goals combined with the risk of massive compensatory awards in investment arbitration has resulted in a 'regulatory chill' effect on host governments when enacting relevant environmental or climate change legislation.[73]

Even if some states lack the willingness to act on climate change out of fear of being held liable for substantial claims, their passive response to climate issues may also lead to arbitration claims. Investors may file claims arguing that the host state's inadequacies in climate legislation and enforcement have led to environmental deterioration, which harms their investment interests, and asserting that the host state has failed to fulfil its investment protection obligations. *Allard v Barbados* is a typical case arising from investor claims related to the environment due to state inaction. In this case, the investor accused the Barbados government of mismanaging environmental regulations and neglecting oversight, which resulted in significant damage to their investment in an eco-tourism facility and a wildlife sanctuary.[74] Although the tribunal ultimately ruled in favour of the state, this case has been recognised as a pivotal precedent, shedding light on potential future climate-related legal claims.[75]

To prevent IIAs from hindering climate change mitigation efforts, some states have chosen to withdraw directly from the International Centre for Settlement of Investment Disputes (ICSID) arbitration mechanism or from IIAs. However, an investment environment without an effective dispute resolution mechanism will undoubtedly exacerbate investment uncertainty and reduce the credibility of host states' renewable energy policies, while also potentially leading to host states missing out on important investment and development opportunities, especially during the critical period of promoting the low-carbon energy transition and the development of sustainable green technology.[76] Abandoning investor–state arbitration is more of a symbolic act by a state government to express its dissatisfaction with the current ISDS mechanism rather than an action intended to be of lasting significance.[77] Some states have also chosen to include 'measures necessary to mitigate climate change' as an exception to IIAs or to exclude climate change measures or fossil fuel investments from the scope of protection under agreements.[78] Compared to establishing climate-change-related investor obligations, setting exceptions for climate governance or refusing to subject climate governance measures to arbitration are clearly more direct and effective ways to reduce protection for climate-unfriendly investments. However, unlike corruption or taxation that can be carved out, climate measures encompass a wide range of regulatory actions across different industries, making it unrealistic to exclude all types of climate-related actions from investment treaty protection.[79]

Additionally, climate change exceptions and exclusions are not mutually exclusive with other reform proposals to include investor obligations.[80] In terms of achieving the goals of climate governance, the two have different priorities but the same goal. Exceptions and exclusions clauses emphasise state sovereignty, with the aim of strengthening the regulatory rights of host states, while investor obligation clauses focus on the investors themselves, targeting their active responsibilities to directly promote positive investment

[68]C Reiner and C Schreuer, 'Human Rights and International Investment Arbitration' in PM Dupuy EU Petersmann and F Francioni (eds), *Human Rights in International Investment Law and Arbitration* (Oxford University Press 2009) 82, 90.
[69]UNCTAD, 'Treaty-based Investor-State Dispute Settlement Cases and Climate Action' (2022) <https://unctad.org/system/files/official-document/diaepcbinf2022d7_en.pdf> 2.
[70]ibid.
[71]UNCTAD (n 6) 12–13.
[72]International Law Compliance, 'Report on Compliance with Investment Treaty Arbitration Awards 2023 (2nd edn)' (October 2023) <https://www.internationallawcompliance.com/wp-content/uploads/2023/10/FULL-Report-2023-DEF-25-OCT-.pdf> 2–3.
[73]S Schill, 'Do Investment Treaties Chill Unilateral State Regulation to Mitigate Climate Change?' (2007) 24 Journal of International Arbitration 469, 469–470.
[74]Peter A. Allard v The Government of Barbados, PCA Case No. 2012–06, Award (27 June 2016) paras 51 and 55–61.
[75]B Kalisz, M Frontczak and P Paprota, 'Types of State Action Leading to Climate-Related Investor Claims' in A Ipp and A Magnusson (eds), *Investment Arbitration and Climate Change* (Wolters Kluwer 2024) 7, 11–12.
[76]S Maljean-Dubois, H Ruiz Fabri and SW Schill, 'International Investment Law and Climate Change: Introduction to the Special Issue' (2022) 23 The Journal of World Investment & Trade 737, 740. See also, SZ Vasani and N Allen, 'No Green without More Green: The Importance of Protecting FDI Through International Investment Law to Meet the Climate Change Challenge' (2020) 5 European Investment Law & Arbitration Review Online 3, 5 and 19.
[77]HR Chen, *The Transformation of Procedural Provisions in International Investment Treaties - Towards a New Calvo Doctrine* (Law Press China 2020) 173.
[78]J Paine and E Sheargold, 'A Climate Change Carve-Out for Investment Treaties' (2023) 26 Journal of International Economic Law 285, 290–291.
[79]Y Zhu, 'A Quasi-normative Conflict: Resolving the Tension between Investment Treaties and Climate Action' (2024) 33 Review of European, Comparative & International Environmental Law 183, 187.
[80]Paine and Sheargold (n 78) 293.

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behaviour. If both reforms are included in the same IIA, binding investor obligation clauses can serve as the basis for holding investors accountable in arbitration.

3.2.3 | Inadequate regulation of investors' climate responsibilities

The existing feasible methods for holding investors accountable for misconduct such as human rights violations, environmental damage or the obstruction of climate action in host states include the following: domestic law pathways, where the host state transforms or incorporates international law principles concerning the obligations of transnational corporations into its domestic legislation, supplemented by monitoring and enforcement mechanisms[81]; international law pathways, which involve directly creating responsibilities for transnational corporations through their inclusion in the relevant treaties[82]; and using existing mechanisms within IIAs to address investor misconduct, including but not limited to counterclaims by host states.[83] In terms of the international law route, international soft law documents such as the Global Compact partially address concerns about the lack of investor accountability in the international economic system, but they do not possess legal binding force to ensure accountability.[84] While the United Nations' resolution on the 'Legally Binding Instrument on Transnational Corporations and Other Business Enterprises with Respect to Human Rights' is intended to establish international hard law rules to address the negative human rights impacts of businesses, based on the draft treaty and the positions of key supporting states, its main purpose and focus remain on establishing a transnational judicial system for providing remedies primarily centred on state responsibility.[85] It remains uncertain whether obligations directly targeting investors can be clearly incorporated into global human rights treaties.

In terms of domestic law, host state governments bear the primary responsibility for ensuring that investors engage in responsible business practices and for protecting their citizens from harmful investment practices.[86] However, relying solely on domestic regulatory pathways presents accountability obstacles that cannot be overcome in the short term, particularly in addressing global challenges such as climate change. In practice, host states, predominantly developing nations, are often unwilling or unable to regulate investors' environmentally or human-rights-damaging activities due to their own development levels, leaving them powerless against the adverse impacts of climate change caused by these investors. Even if the host state's court issues a judgement against an investor for misconduct, the investor may not have assets in the host state to satisfy the judgement debt, in which case the host state would have to seek enforcement in the investor's home state.[87] The parent company of the investor may also be exempt from liability because of the independent legal personality of its subsidiaries.[88]

Further, the environmental and climate-related obligations that investors have under a state's domestic law do not directly counterbalance the rights they enjoy under IIAs. Any accountability or retaliatory measures taken by a host state against investor misconduct may be brought before an international investment arbitral tribunal, resulting in conflicts with the investment protection obligations stipulated in the IIA. Given the lack of explicit human rights and environmental investor obligations in most existing agreements, arbitrators tend to ignore the public interest obligations that investors should bear in their rulings.[89] While investor obligation clauses in the environmental field may, to some extent, urge investors to fulfil their climate change obligations, relying solely on these environmental obligation clauses to address the challenges of climate change in investment practice has significant limitations. Currently, only a handful of IIAs contain provisions addressing investors' environmental obligations, and all investment arbitration cases involving the environment have been based on traditional IIAs signed before 2010, which generally have not imposed explicit environmental obligations on investors.[90] Given the uncertain future of the United Nations Treaty on Business and Human Rights negotiations, the regulatory gaps in national governance of transnational investors and the dilemma of climate regulation in host states, the existing mechanism for holding transnational investors accountable are clearly inadequate. The overprotection of investors owing to an accountability gap is also likely to continue to undermine the legitimacy of the international investment legal system.[91]

4 | DEFICIENCIES IN APPLYING NON-BINDING CLIMATE-CHANGE-RELATED INVESTOR OBLIGATION CLAUSES

Although environmentally friendly preamble clauses and CSR clauses concerning investor obligations, as typical non-binding provisions, can promote the fulfilment of social responsibilities by investors to some extent, most arbitral tribunals have ignored or avoided applying non-binding rules. Arbitration outcomes have usually favoured the

[81]M Sornarajah, 'Disintegration and Change in the International Law on Foreign Investment' (2020) 23 Journal of International Economic Law 413, 422–423.
[82]ibid 423.
[83]ibid 422.
[84]VD Feo, 'Corporate Social Responsibility Through the Lens of Investment Law: Will Any Solution Work Without the Rule of Law' (2020) 8 McGill Human Rights Internships Working Paper Series 12–15.
[85]XH Liang and C Liu, 'The Paradox in Choosing and Realizing the Normative Paths to Construct the United Nations Business and Human Rights Treaty' (2021) 3 Chinese Journal of Human Rights 5, 7–8.
[86]D Gaukrodger, 'Business Responsibilities and Investment Treaties' (OECD Working Papers on International Investment 2021), <https://www.oecd-ilibrary.org/docserver/4a6f4f17-en.pdf?expires=1733845778&id=id&accname=guest&checksum=805A6532FF8B89E4EDE99A3FAD165FC9> 21.
[87]M Jarrett, Sergio Puig.and SR Ratner, 'New Options for Investor Accountability in ISDS' (22 December 2021) <https://www.ejiltalk.org/new-options-for-investor-accountability-in-isds/>.
[88]AY Vastardis and R Chambers, 'Overcoming the Corporate Veil Challenge: Could Investment Law Inspire the Proposed Business and Human Rights Treaty?' (2018) 67 International & Comparative Law Quarterly 389, 396.
[89]United Nations General Assembly, 'Human rights-compatible International Investment Agreements' UN Doc A/76/238 (27 July 2021) para 17.
[90]UNCTAD (n 69) 3.
[91]J Ho, 'The Creation of Elusive Investor Responsibility' (2019) 113 AJIL Unbound 10, 10.

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protection of investor interests and failed to adequately consider the environmental interests of the host state. In addition, the inherent uncertainty of non-binding clauses can lead to ambiguity and complexity in arbitration rulings, with arbitral tribunals having considerable discretionary power in interpreting these clauses, thus further calling into question the effectiveness of such provisions.

4.1 | Preambular clauses: Limited impact

The VCLT provides for an agreement's preamble to play a substantial role in treaty interpretation. In cases involving the stability of host state regulatory policies and the Fair and Equitable Treatment (FET) of investors, several arbitral tribunals have relied on the investor protection principle in the preamble and the relevant wording to interpret the FET clause as protecting the investment.[92] The rulings of arbitral tribunals in a series of cases have demonstrated a clear disregard for significant social concerns such as the environment, human rights and climate change mitigation goals, and this tendency is even more pronounced in their attitude towards preambular clauses.[93] The arbitral tribunal's interpretation of 'reasonable expectations' in conjunction with the environmental exception clause in *Eco Oro v Colombia* indicated a general tendency to favour investors' rights over host states' public environmental interests, with environmentally friendly preambles failing to exert a significant influence on the tribunals.[94] In practice, preambular clauses codifying the principle of investment protection have usually had a significant impact on the interpretation of arbitral tribunals, whereas preambular clauses emphasising environmental protection have failed to be afforded similar weight. Although arbitral tribunals sometimes refer to the value and significance of environmentally friendly preambles in their reasoning, they usually fail to afford sufficient attention to the environmental interests of the host state. Addressing the imbalance in investor–state dispute resolution by leveraging existing arbitration mechanisms remains a formidable challenge. Even though the new generation of IIAs emphasises the importance of climate action in their preambles and explicitly encourages investors to assume corresponding CSR, the preambular clauses are achieving negligible actual impact in terms of promoting host state climate actions or effectively urging investors to engage in responsible behaviour.

4.2 | CSR clauses: Questionable validity

CSR clauses have had a positive impact in terms of encouraging investors to fulfil their responsibilities. Arbitral tribunals can require claimants to fulfil their CSR and comply with the 'clean hands' principle in order to initiate arbitration or receive full compensation, thereby reducing the compensation amount of host states.[95] For example, in *Bear Creek v Peru*, the Peruvian government revoked the silver mining concession granted to a foreign investor due to protests by local residents. The claimant initiated arbitration under the Canada–Peru FTA, alleging that Peru had violated the fair treatment clause for investors. However, the dissenting opinion argued that the majority of arbitrators unreasonably assessed the compensation amount Peru had to pay, failing to consider the claimant Bear Creek's misconduct in inciting the unrest, which should have resulted in a reduction in the compensation amount by half.[96] In addition, arbitral tribunals can use CSR as a standard when assessing the level of reasonableness of an investor's expectations.[97] As the tribunal pointed out in the *Urbaser* case, 'the FET standard is not only focused exclusively on the expectations interests and expectations of a legal nature but also does include the actual social and economic environment of the host state, which is also part of the expectations the investor has to acknowledge when making its business decision'; the tribunal concluded that 'the protection of the universal basic human right of access to water for millions of Argentinians' forms the basis on which investors build their legitimate investment expectations.'[98]

As indicated above, despite the theoretical value of CSR clauses, there is a question as to whether, in practice, they provide adequate teeth to hold foreign investors accountable or whether they simply become mired in ambiguity, complexity and the discretion of the tribunal.[99] Specific problems with CSR clauses are that, first, they often appear as indirect clauses, resulting in ambiguity in their interpretation and uncertainty in the obligation bearers, thus hindering host states from directly using such obligation clauses to counter investors in arbitration.[100] Second, CSR clauses often refer to international soft law documents but usually merely to encourage investors to follow international standards without providing specific examples or clarifications. The lack of a clear definition of CSR and the vague manner in which it is referenced can lead to difficulties for arbitral tribunals in interpreting these clauses, making it challenging to determine which specific international standards should be used to define concrete

[92]CMS Gas Transmission Company v The Argentine Republic, ICSID Case No. ARB/01/8, Award (12 May 2005) paras 274–277; Occidental Exploration and Production Company v The Republic of Ecuador, LCIA Case No. UN3467, Final Award (1 July 2004) paras 183–186.
[93]Clayton and Bilcon of Delaware Inc v Government of Canada, PCA Case No. 2009–04, Award on Jurisdiction and Liability (17 March 2015) paras 596–597; Clayton and Bilcon v Canada, Dissenting Opinion of Professor Donald McRae (10 March 2015) paras 20, 26, 29, 39 and 51; Compañia del Desarrollo de Santa Elena S.A. v Elena S.A. v Republic of Costa Rica, ICSID Case No. ARB/96/1, Award (17 February 2000) para 72.
[94]Eco Oro Minerals Corp. v Republic of Colombia, ICSID Case No. ARB/16/41, Decision on Jurisdiction, Liability and Directions on Quantum (9 September 2021) paras 828, 832. The central question in this case was whether Colombia's environmental measures to protect its alpine ecosystem breached the investment protection standards under the Canada-Colombia FTA. Colombia contended that its actions were justified under the agreement's environmental exceptions clause and should not warrant compensation. However, the arbitral tribunal ultimately ruled in favour of the investor.

[95]Gaukrodger (n 86) 105.
[96]Bear Creek Mining Corporation v Republic of Peru, ICSID Case No. ARB/14/21, Partial Dissenting Opinion of Professor Philippe Sands QC (12 September 2017) paras 4 and 39.
[97]PM Dupuy and JE Viñuales, *Harnessing Foreign Investment to Promote Environmental Protection: Incentives and Safeguards* (Cambridge University Press 2013) 301.
[98]Urbaser v Argentine (n 66) paras 623–624.
[99]C Cutler and D Lark, 'Incorporating Corporate Social Responsibility within Investment Treaty Law and Arbitral Practice: Progress or Fantasy Remedy?' (19 December 2020) <https://www.iisd.org/itn/en/2020/12/19/incorporating-corporate-social-responsibility-within-investment-treaty-law-and-arbitral-practice-progress-or-fantasy-remedy-claire-cutler-david-lark/>.
[100]N Bueno, AY Vastardis and IN Djeuga, 'Investor Human Rights and Environmental Obligations: The Need to Redesign Corporate Social Responsibility Clauses' (2023) 24 Journal of World Investment & Trade 179, 205.

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investor obligations.[101] Last, such clauses often reaffirm the non-binding nature of CSR, with soft liability standards being the biggest obstacle to accountability and the enforceability of CSR clauses. Even if IIAs explicitly refer to specific international instruments like the OECD Guidelines for Multinational Enterprises, the lack of legal binding force in these informal international instruments gives investors a firm basis from which to deny obligations arising from them. Therefore, host states face many challenges in applying such clauses to hold investors accountable.

Most arbitral tribunals have tended to neglect or avoid applying CSR clauses. Owing to the ambiguous character of CSR, it is challenging for tribunals to interpret the relevant rules and enforce them in IIAs. In *Bear Creek v Peru*, Peru referenced article 810 of the Canada–Peru FTA (2008), which emphasised the importance of companies incorporating international standards of CSR into their operational policies, arguing that the claimant Bear Creek should have been committed to respecting human rights and conducting human rights due diligence to prevent, mitigate, or remedy potential human rights violations.[102] In response, Bear Creek contended that article 810 merely states that both parties 'shall encourage' businesses operating within their respective territories to voluntarily adopt internationally recognised CSR standards and thus lacks binding force.[103] However, the tribunal did not even respond to the dispute over article 810 in its final ruling, which to some extent reflects its avoidance of and neglect in interpreting CSR clauses. The *Urbaser v Argentina* case presented an opportunity to recognise investor obligations under international law, but the tribunal did not attempt to derive these obligations from CSR initiatives aimed at transnational corporations. Instead, it inferred relevant human rights obligations for transnational corporations under international law based on Art. 30 of the Universal Declaration of Human Rights and article 5(1) of the International Covenant on Economic, Social and Cultural Rights, while emphasising the non-binding nature of CSR initiatives.[104]

In general, arbitral tribunals have not relied on international standards of CSR to determine whether investors should bear obligations under international law, reflecting a certain passivity in engaging with the normative issues of the informal instruments invoked by the disputing parties. Inconsistencies and ambiguities have been commonplace among arbitral tribunals asked to find foreign investor obligations in the areas of human rights, labour and environmental hazards. Given the textual characteristics of CSR clauses, they still cannot serve as concrete criteria or independent interpretative tools for tribunal decisions.[105] In terms of recognising investor obligations, CSR clauses are of marginal value for arbitral tribunals that have attempted to justify the possibility of investor obligations from international law norms, and they have not provided crucial support for tribunals that have refused to recognise such obligations. In terms of the interpretation of substantive provisions, while CSR clauses have some potential value, the extent to which they might have an impact depends on a tribunal's interpretation of soft provisions. Although arbitral awards or dissenting opinions in individual cases, such as *Bear Creek*, have shown a positive response to investor obligations, these rulings are exceptions. In view of the ambiguity of soft obligation rules, arbitral tribunals have typically focused on the more explicit investment protection rules in agreements. Therefore, relying on arbitral interpretation to enforce the effectiveness of soft clauses is not an effective solution and is unlikely to achieve the ultimate goal of correcting the asymmetries in the international investment regime.

5 | THE CHALLENGES OF ESTABLISHING BINDING CLIMATE-CHANGE-RELATED INVESTOR OBLIGATION CLAUSES

Investor obligation clauses in IIAs have been appearing more frequently in recent years, but many of them are still presented in a non-binding form. Given the shortcomings of non-binding investor obligation clauses, incorporating binding investor obligation clauses is theoretically superior. However, due to value-dimension and rule-level challenges, the implementation of binding investor obligation clauses concerning climate change has faced numerous difficulties.

5.1 | Value conflict

In the evolution of investor obligation clauses in IIAs, the reform proposal to include binding investor obligation clauses has only received enthusiastic support from some developing states. Countries such as Brazil, India, Morocco and some African countries are actively seeking to play a leading role in the formulation of investor obligations rules.[106] From the 2008 ECOWAS Investment Supplementary Act to the 2012 SADC Model BIT and the latest 2016 Pan-African Draft Investment Code, African governments have played a significant role in promoting the inclusion of investor obligations in the next generation of IIAs. This trend has also continued in other developing countries and is evident in documents such as the 2019 Morocco Model BIT and the 2020 Brazil–India BIT, both of which have dedicated chapters on investor obligations and responsibilities. These investment treaty practices are highly consistent with the push within the field of human rights for binding international treaty obligations for multinational firms.[107]

[101] Y Levashova, 'The Accountability and Corporate Social Responsibility of Multinational Corporations for Transgressions in Host States Through International Investment Law' (2018) 55 Utrecht Law Review 40, 47.

[102] Bear Creek v Peru, ICSID Case No. ARB/14/21, Respondent's Second Post-Hearing Brief (15 February 2017) p 3–4, 14; Bear Creek v Peru. ICSID Case No. ARB/14/21, Amicus Curiae Brief Submitted by the Association of Human Rights and the Environment - Puno and Mr Carlos Lopez (Non-Disputing Parties) (18 August 2016) p 11.

[103] Bear Creek v Peru, ICSID Case No. ARB/14/21, Bear Creek's Reply to the Amicus Curiae Submission of DHUMA and Dr Lopez (18 August 2016) para 18.

[104] Urbaser v Argentina (n 66) paras 1195–1199, 1210 and 1220.

[105] Zhu (n 1) 118.

[106] See UNCITRAL, 'Possible Reform of Investor-State Dispute Settlement (ISDS) Submission from the Government of South Africa' UN Doc A/CN.9/WG.III/WP.176 (17 July 2019) para 70.

[107] UN Human Rights Council, 'Elaboration of an International Legally Binding Instrument on Transnational Corporations and Other Business Enterprises with Respect to Human Rights' UN Doc A/HRC/RES/26/9 (14 July 2014) 3.

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The introduction of binding investor obligation clauses in IIAs can be considered an incremental reform measure taken by some developing states dissatisfied with the current investment regime, serving as a way to question the fairness and legitimacy of the existing system. In light of the historical development of investment rules, developing states' dissatisfaction with the investment regime mainly stems from the relatively unequal positions they occupied when IIAs to which they are parties were concluded. On one hand, the inequality is a consequence of the historical shaping and ongoing influence of international investment law by its political context, with colonialist and imperialist origins; the aim has thus been protecting the interests of capital-exporting states while neglecting the public welfare of capital-importing states, and this continues to resonate through the modern principles, structures and dispute resolution systems.[108] On the other hand, the inequality stems from significant disparities between developed and developing states in their levels of participation in formulating international investment rules, their understanding of these rules, and the extent to which they are affected by the rules, resulting in stricter regulatory constraints on states in the Global South.[109]

Comparatively, developed states generally are unfavourably disposed towards investor-binding obligation clauses in IIAs.[110] Developed states are concerned that such clauses might further expand the powers of arbitral tribunals. The current model of investment arbitration, which empowers arbitral tribunals to review state laws and policies, already constitutes a great concession of state sovereignty, and further empowering arbitral tribunals to review or even regulate enterprises would lead to a further weakening of the sovereign power of the state.[111] Meanwhile, as beneficiaries of the early exploitative international investment system, developed states have little willingness to diminish their substantive interests to meet the demands of developing states. Furthermore, developed states, with their well-established market mechanisms, often prefer to regulate investor behaviour through market-based incentives and soft measures like CSR. This reliance on market-driven strategies diminishes developed states' motivation to formalise binding obligations in IIAs.[112] In general, some developed states refrain from including investor obligation clauses in their IIAs more for policy considerations rather than doubts about their legal feasibility.[113] They are more likely to use these clauses to demonstrate their concern for international public issues, respond to the calls of international organisations and promote a responsible image and stance toward global sustainable development. In this context, the role of non-binding investor obligation clauses in highlighting the concerns of developed states on international public issues—while at the same time avoiding potential competitive and political cost burdens—has been one of the main reasons why CSR clauses have been widely accepted by states in practice. The divergent perspectives of Global North and South states on the structure of the international investment regime have hindered the formation of sufficient international consensus, making it difficult to establish binding investor obligation clauses within the international community.

5.2 | Difficulties integrating binding investor obligations at the level of rules

5.2.1 | Context: Difficulty in determining investor responsibilities

Existing climate change instruments, at both the domestic and international levels, have yet to establish a systematic regulatory mechanism to constrain investors' greenhouse gas emissions.[114] While the Paris Agreement acknowledges the need for private sector action to achieve its temperature goals,[115] the lack of specific normative bases has so far prevented any arbitral tribunal from directly ruling on climate change issues. Further, the fundamental conflict between investors' investment protection rights and their climate change obligations has also contributed to the inadequacy of regulations addressing investors' climate change liabilities. The primary function of traditional IIAs is mainly on safeguarding investors protection rights while giving little emphasis to investors' climate change obligations.[116] Since the adoption of the United Nations Human Rights Council's proposal for a legally binding international instrument on the relationship between transnational corporations and other business enterprises and human rights in 2014, the expert group has conducted several rounds of negotiations. Yet, the draft continues the traditional method of imposing obligations in international treaties, only indirectly addressing corporate human rights obligations through state obligations, and has not yet included direct obligations for corporations in the main text.[117] The international community still lacks consensus on the legitimacy and necessity of imposing binding obligations on investors from

[108]K Miles, *The Origins of International Investment Law: Empire, Environment and the Safeguarding of Capital* (Cambridge University Press 2013) 2–3.

[109]L Cotula, 'International Investment Law and Climate Change: Reframing the ISDS Reform Agenda' (2023) 24 Journal of World Investment & Trade 766, 787.

[110]M Sattorova, 'The Foreign Investor as a Good Citizen: Investor Obligations to do Good' in J Ho and M Sattorova (eds), *Investors' International Law* (Hart Publishing 2021) 45, 52. See also, UN Human Rights Council, 'Addendum to the Report on the Fourth Session of the open-ended Intergovernmental Working Group on Transnational Corporations and Other Business Enterprises with Respect to Human Rights' UN Doc A/HRC/40/48/Add.1 (6 March 2019) 19, 23–24, 28–30. Developed countries or regions such as New Zealand, Switzerland, and the European Union have expressed their reservations regarding a legally binding business and human rights treaty.

[111]Public Citizen, 'Selected Statements and Actions Against Investor-State Dispute Settlement (ISDS)' (20 March 2024) <https://www.citizen.org/article/selected-statements-and-actions-against-investor-state-dispute-settlement-isds-2/>.

[112]M Yan, 'Corporate Social Responsibility versus Shareholder Value Maximization: Through the Lens of Hard and Soft Law' (2019) 40 Northwestern Journal of International Law & Business 47, 84.

[113]KP Van der Ploeg, 'Protection of Regulatory Autonomy and Investor Obligations: Latest Trends in Investment Treaty Design' (2018) 51 The International Lawyer 109, 115.

[114]L Benjamin, 'The Responsibilities of Carbon Major Companies: Are They (and is the Law) Doing Enough? Transnational Environmental Law' (2019) 5 Transnational Environmental Law 353, 354.

[115]UNFCCC (n 41).

[116]United Nations General Assembly (n 89) paras 15 and 17.

[117]UN Human Rights Council, 'Text of the Updated Draft Legally Binding Instrument on Transnational Corporations and Other Business Enterprises with Respect to Human Rights' UN Doc A/HRC/55/59/Add.1 (13 February 2024).

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an international law perspective.[118] In addition, considering factors such as political and economic costs, whether state actors can accept binding methods for investor obligations remains questionable.[119] All of the above are hindrances to the process of incorporating binding investor obligations into IIAs to some extent.

5.2.2 | Application: Conflicts with investment protection principles

Climate regulation clauses would impose restrictions on high-carbon industries or investment projects, and investor obligation clauses may thus potentially conflict with National Treatment (NT), Most Favoured Nation (MFN) and FET clauses in IIAs. In practice, host states usually adopt more favourable incentives for climate-friendly investments by foreign investors or impose stricter environmental requirements on fossil energy investments to realise the aims of climate governance. As a result, foreign investors may use NT and MFN clauses to challenge the legitimacy of a host state's restrictions on fossil fuels or climate policies favouring the import and export of renewable energy sources.[120] They may also claim that obligation clauses in IIAs that exceed the host state's domestic laws violate the NT and MFN principles. Determining whether investors who enjoy different treatment are in 'similar situations' is the key element of assessing whether a host state has violated the principle of non-discrimination.[121] Arbitral tribunals in cases such as *Myers v Canada* have suggested that a host state may determine the absence of 'similar situations' due to differences in the characteristics of investment projects. Even if it is demonstrated that two investments are in like circumstances and that differential treatment exists, the host state can still justify such treatment at a final stage by proving it is based on a legitimate non-discriminatory policy rationale.[122] Arbitration practices demonstrate that tribunals have yielded mixed results when considering environmental concerns by assessing 'similar situations' under MFN or NT clauses.[123] Given the inconsistency of investment arbitration results that has been widely criticised,[124] the risk of climate policies being found to violate the principle of non-discrimination remains high, especially in the context of determining whether investors are in a similar situation as domestic investors.

In addition to potentially hindering host countries from implementing differentiated regulations for low-carbon energy and traditional energy investments, MFN clauses may also be used by investors to circumvent their obligations.[125] The new generation of IIAs coexist extensively with traditional ones, and it is thus inevitable that a state may be party to IIAs that impose varying levels of obligations on foreign investors. Investors who are subject to more stringent obligations may adopt litigation strategies as seen in *CMS Gas Company v Argentina*,[126] arguing for the application of a more favourable IIA by invoking the MFN clause to avoid their more stringent obligations.[127]

The principle of FET is a crucial standard of treatment in IIAs, setting forth 'transparency,' 'reasonable expectations,' and 'due process' as the key factors to consider in determining whether a host state has violated a FET clause. Due to the abstractness of FET clauses, these are often used to protect investors' reasonable expectations, and any climate policy that runs counter to investors' expectations may be considered a violation of a FET clause.[128] In practice, the arbitral tribunals in many cases have required investors to meet the 'prudent investor' standard when reviewing the legitimate expectations of investors.[129] However, given the inconsistency of arbitral decisions and how many arbitral tribunals ignore the public policy objectives of host states, expecting all arbitral tribunals, when interpreting FET clauses, to consciously adopt a balanced approach that takes into account the obligations of investors would verge on wishful thinking.

5.2.3 | Enforcement: A binding investor obligation clause alone is insufficient

The enforcement of binding investor obligation clauses encompasses two aspects: the fulfilment of obligations and remedies for breaches. The former focuses on the preventive role of the obligation clauses,

[118]D Bilchitz, 'The Necessity for a Business and Human Rights Treaty' (2016) 1 Business and Human Rights Journal 203, 205–210.

[119]K Parella, 'Hard and Soft Law Preferences in Business and Human Rights' (2020) 114 AJIL Unbound 168, 168–169.

[120]DM Firger and MB Gerrard, 'Harmonizing Climate Change Policy and International Investment Law: Threats, Challenges, and Opportunities' in K Sauvant (ed), *Yearbook on International Investment Law and Policy 2010–2011* (Oxford University Press 2012) 517, 545–546.

[121]Parkerings-Compagniet AS v Republic of Lithuania, ICSID Case No. ARB/05/8, Award (11 September 2007) para 369.

[122]SD Myers, Inc v Government of Canada, Partial Award (13 November 2000) para 250. Claims arose from Canada's 1995 ban on the export of PCB wastes to the United States, alleging economic harm due to the ban's interference with its operations, as well as resulting in business opportunities lost in Canada. While the tribunal concluded that Canada had breached its NAFTA obligations as the export ban was not genuinely aimed at achieving environmental objectives, it also noted that the interpretation of the phrase 'like circumstances' must take into account the circumstances that would justify governmental regulations that treat them differently in order to protect the public interest.

[123]C Martini, 'Balancing Investors' Rights with Environmental Protection in International Investment Arbitration: An Assessment of Recent Trends in Investment Treaty Drafting' (2017) 50 International Lawyer 529, 537.

[124]UNCITRAL, 'Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its thirty-fifth session (New York, 23–27 April 2018)' UN Doc A/CN.9/935 (14 May 2018) 6.

[125]F Marshall, A Cosbey and D Murphy, 'Climate Change and International Investment Agreements: Obstacles or Opportunities?' (IISD 2010) <https://www.iisd.org/system/files/publications/bali_2_copenhagen_iias.pdf> 38.

[126]CMS Gas Transmission Company v The Argentine Republic, ICSID Case No. ARB/01/8, Award, 12 May 2005, para 343. Argentina adopted emergency measures in response to an economic crisis that reduced the value of CMS's investment. CMS accused the Argentine government of indirect expropriation. In its defence, Argentina relied on the exception clause in the BIT. However, CMS argued that similar investment treaties between Argentina and other countries lacked such emergency exception clauses and sought to avoid the provision by invoking the MFN treatment clause.

[127]SH Nikièma, 'IISD Best Practices Series: The Most-Favoured-Nation Clause in Investment Treaties' (IISD 2017) <https://www.iisd.org/system/files/publications/mfn-most-favoured-nation-clause-best-practices-en.pdf> 21–22.

[128]UNCTAD (n 3) 83.

[129]DN Liang and HS Tang, 'Study on Renewable Energy Investment Arbitration in the Context of Carbon Peaking and Carbon Neutrality Goals: From the Perspective of Legitimate Expectation of Investors' (2023) Wuhan University International Law Review 119, 132.

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while the latter addresses their remedial function. If the content of binding investor obligations goes beyond the domestic laws of the host state, the question then becomes one of whether the host state is equipped with appropriate supervision and enforcement mechanisms to ensure the fulfilment of these obligations. Without a corresponding domestic legal framework, including investor obligation clauses in IIAs alone cannot effectively ensure that investors fulfil these obligations.[130] Doing so in such a case would merely serve to reduce or eliminate the host state's liability for compensation to some extent.[131] However, this cannot compensate for the substantial damage that may have already been done to the host state's environment and climate. Moreover, the inadequacies of the domestic legal system may result in the government's inability to sufficiently fulfil its regulatory responsibilities, thereby affecting the arbitral tribunal's recognition and assessment of investor obligations. The arbitral tribunal may weaken the relief of the counterclaim on the grounds of joint responsibility of the host country and the investor for the damage. In practice, most arbitrators, when evaluating whether investors have actively met their consultation obligations with local communities, place greater emphasis on the responsibilities that the host state should undertake in reviewing investor activities.[132]

Pursuant to the provisions of IIAs, holding investors accountable for breach of the obligations set out in IIA can be done through both domestic and international channels. Specifically, the host state can raise jurisdictional objections based on investor obligation clauses in arbitration claims initiated by investors, thereby directly depriving investors of their arbitration rights. Alternatively, the host state can use binding investor obligation clauses as a defence to reduce or eliminate its own liability for compensation or directly file a counterclaim for damages. At the same time, victims can pursue civil liability claims against investors in the domestic courts of the host state or investors' home state for breaches of IIA obligations. For instance, article 20 of the Morocco–Nigeria BIT also provide that 'Investors shall be subject to civil actions for liability in the judicial process of their home state for the acts or decisions made in relation to the investment where such acts or decisions lead to significant damage, personal injuries or loss of life in the host state.' The effectiveness of a liability clause, such as article 20 of the Morocco-Nigeria BIT, depends on the investor's home state's willingness to provide a mechanism in domestic law that allows victims to bring lawsuits against the investor.[133] Whether the damage caused by an investor's violation of the obligations of an IIA can be remedied in a domestic court depends on the relevant provisions of domestic law in the host or home state (i.e., whether domestic law provides that an investor's failure to perform its obligations under an IIA is a reason for the host state to sue). In practice, however, home states are often reluctant to legislatively codify extraterritorial jurisdiction over their companies due to concerns about being accused of interfering with the sovereignty of other nations or undermining the competitive advantage of their own enterprises.[134] They tend to interpret the *forum non-conveniens* principle either strictly or leniently based on the extent to which the case impacts their national interests, thus either refusing or asserting jurisdiction accordingly.[135] Even in states where domestic law explicitly provides for the extraterritorial jurisdiction of domestic courts over domestic companies, hundreds of cases against transnational investors for alleged human rights abuses have ended in plaintiffs losing or accepting an out-of-court settlement.[136]

Moreover, based on the parallel existence of international and domestic remedies, investors may face dual claims for the same environmental damage or human rights violation at both levels, and the results of domestic court judgements and investment arbitration awards may not be consistent.[137] Further, the two remedies are procedurally and substantively independent of each other, and the judgement or award of one does not bind the other and cannot be used as a defence or evidence in the proceedings of either forum. When arbitration tribunals hold investors accountable based on host state laws, there may also be the risk of inconsistent rulings. For instance, in the *Burlington v Ecuador* and *Perenco v Ecuador* cases, the host states filed counterclaims based on the same facts, but the two tribunals disagreed on the application of Ecuadorian domestic law when determining investor liability, which ultimately led to inconsistent rulings.[138] Hence, binding investor obligations clauses face multiple obstacles in implementation.

6 | PATHWAYS TO DEVELOP BINDING CLIMATE-CHANGE-RELATED INVESTOR OBLIGATION CLAUSES

As binding climate-change-related investor obligations under IIAs are still in the early stage of development, a constructive starting point for

[130]CD Hein, 'Much Ado About Nothing? - Advocating for Legality Clauses instead of ESG and CSR Investor Obligations in International Investment Agreements' (30 January 2024) <https://arbitrationblog.kluwerarbitration.com/2024/01/30/much-ado-about-nothing-advocating-for-legality-clauses-instead-of-esg-and-csr-investor-obligations-in-international-investment-agreements/>.

[131]ibid.

[132]Bear Creek v Peru, ICSID Case No. ARB/14/21, Award (30 November 2017) paras 567–569.

[133]Levashova (n 101) 48.

[134]P Simons, 'International Law's Invisible Hand and the Future of Corporate Accountability for Violations of Human Rights' (2012) 3 Journal of Human Rights and the Environment 5, 31.

[135]Y He, 'On the Human Right Accountability of Transnational Corporations' (2004) 57 Wuhan University Journal (Philosophy & Social Science) 403, 403.

[136]J Schrempf-Stirling and F Wettstein, 'Beyond Guilty Verdicts: Human Rights Litigation and its Impact on Corporations' Human Rights Policies' (2017) 145 Journal of Business Ethics 545, 547–548.

[137]Shao (n 7) 174.

[138]Perenco Ecuador Ltd. v The Republic of Ecuador, ICSID Case No. ARB/08/6, Interim Decision on the Environmental Counterclaim (11 August 2015) para 359, 564–569, 897; Burlington Resources Inc. v Republic of Ecuador, ICSID Case No. ARB/08/5, Decision on Counterclaims (7 February 2017) paras 69, 80–82, 104–117. The two cases are based on the same facts: the two oil companies, Perenco (headquartered in France) and Burlington (headquartered in the United States), jointly operate an oil exploration project in the Ecuadorian Amazon rainforest. Due to Ecuadorian laws, the tax rate of oil and gas sales surplus has been raised significantly. Burlington and Perenco initiated ICSID arbitration proceedings against Ecuador under the U.S.-Ecuador BIT and French-Ecuador BIT, respectively, claiming that Ecuador violated FET and that the tax increase on investors constituted an illegal levy. Ecuador also filed identical counterclaims against the petitioners in each case, holding Perenco and Burlington liable for damage to the environment and public infrastructure on both sites.

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developing such clauses would be refining specific obligation clauses and jointly applying binding and non-binding obligation clauses in light of the mandatory character of binding obligations for investors and the flexibility of non-binding obligations. Further, context-specific models of climate-change-related investor obligation clauses, systematically optimising IIAs and enhancing the coordination between international investment law and domestic law can better promote the fulfilment of climate change obligations by transnational investors.

6.1 | Rule interaction: Joint application of non-binding and binding obligations clauses

Calling for the establishment of binding climate-change-related investor obligation clauses does not negate the value of non-binding obligation clauses. Expecting all soft law to be transformed into hard law is unrealistic.[139] Increased globalisation, the necessity for the international community to incorporate international visions into formal legal documents gradually decreases, and non-binding norms can address issues in a more flexible and efficient manner.[140] Although many soft law international CSR guidelines are not legally binding, their de facto binding force due to widespread corporate compliance cannot be denied. They can be seen as a foundation for more legally binding standards.[141] In arbitration practice, non-binding obligation clauses, such as environmentally friendly preamble clauses and CSR provisions related to sustainable development, still can prompt arbitral tribunals to consider the issue of investors' responsibilities toward the host state's public interest when interpreting the substantive standards of IIAs. In the current situation, where the practice of binding obligations on investors in IIAs is not yet mature, non-binding obligation clauses could, to a certain extent, gradually encourage more tribunals to respond positively to investors' obligations.

The interaction between non-binding and binding obligation clauses is intense and frequent, with the common purpose of regulating investor behaviour within a rule-of-law framework.[142] As examples of non-binding obligations in IIAs, CSR clauses typically require that investors voluntarily adopt higher internationally recognised standards, which are often above or equivalent to the binding obligations in the agreements. For example, article 24 of the Morocco–Nigeria BIT (2016) establishes a dynamic obligation that requires investors to apply and achieve higher-level standards when the standards of CSR increase. Insofar as they can rely on the coercive regulatory power embedded in the international investment arbitration regime, investor-binding obligation clauses can effectively compel investors to comply with minimum obligation requirements. Meanwhile, non-binding obligation clauses can also incentivise investors to voluntarily adhere to higher standards of global public interest regulatory regimes, including in the area of climate governance, thus providing the missing link between voluntarism and accountability.[143] As far as investors' behaviour is concerned, the value of investor obligation clauses can be maximised by incentivising and guiding companies to self-regulate with higher standards of CSR while simultaneously regulating and ensuring compliance through dual binding obligations at both national and international levels. Further, non-binding obligations offer greater flexibility, applicability and lower costs compared to binding obligations. Considering the differing positions between developed and developing states regarding binding obligation clauses for investors, as well as the challenges in establishing the responsibilities of transnational investors, a rigid pursuit of specific binding rules for investor obligations may fail to achieve an effective consensus between contracting parties or may lead to overly rigid rules, thereby affecting their practical applicability.[144] In situations where contracting parties cannot reach an agreement on investor responsibilities and climate governance, non-binding obligations for investors can better reflect regulatory flexibility and help further promote international attention to investor obligations. Therefore, in the process of advancing investor obligations to become more binding, a more realistic approach would be to realise the joint application of non-binding and binding investor obligations.

6.2 | Rule-setting: A specific model of climate-change-related investor obligation clauses

Climate-change-related investor obligation clauses in IIAs can follow a model in which a general 'compliance with laws' clause is supplemented by independent investor binding obligation and CSR clauses. In regard to the general requirement of compliance with laws, the IISD's proposal can serve as a reference.[145] The general clause should clarify that the ISDS does not apply to investments that violate domestic laws or treaty obligations. For example, article 8.18 of the Canada–EU CETA (2016) stipulates that if an investment is made through fraudulent misrepresentation, concealment, corruption, or acts equivalent to illegal investment, investors may not submit claims.[146] The legality clause should mandate that investors comply with relevant domestic laws throughout the entire lifecycle of their investment, rather than restricting such obligations to the admission or establishment phase.[147] In addition, the general clause can stipulate that the

[139]AK Bjorklund, 'Assessing the Effectiveness of Soft Law Instruments in International Investment Law' in AK Bjorklund and A Reinisch (eds), *International Investment Law and Soft Law* (Edward Elgar Publishing 2012) 51, 55.

[140]D Shelton, 'Normative Hierarchy in International Law' (2006) 100 American Journal of International Law 291, 322.

[141]B Choudhury, 'Balancing Soft and Hard Law for Business and Human Rights' (2018) 67 International & Comparative Law Quarterly 961, 961.

[142]Shelton (n 140) 320.

[143]Yan (n 112) 68.

[144]KW Abbott and D Snidal, 'Hard and Soft Law in International Governance' (2000) 54 International Organization 421, 433; Shelton (n 140) 322.

[145]IISD, 'Harnessing Investment for Sustainable Development: Inclusion of Investor Obligations and Corporate Accountability Provisions in Trade and Investment Agreements' (IISD 2018) <https://www.iisd.org/system/files/meterial/harnessing-investment-sustainable-development.pdf> 9–10.

[146]Canada-EU CETA (2016) (adopted 30 October 2016) art 8.18.3 provides that 'an investor may not submit a claim under this Section if the investment has been made through fraudulent misrepresentation, concealment, corruption, or conduct amounting to an abuse of process.'

[147]See Central African Republic-Rwanda BIT (2019) (adopted 15 October 2019) art 10 and AfCFTA Protocol on Investment (2023) (n 34) art 32.

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contracting parties can choose to exclude unsustainable investment from the scope of protection of an IIA.[148]

With regard to the inclusion of independent binding obligations for investors, two aspects are crucial. First, model IIAs, such as the 2012 Southern African Development Community (SADC) BIT Model and the 2023 AfCFTA Protocol, can serve as references because of their specific binding rules on investor obligations in the fields of environmental protection, human rights and corporate governance.[149] Further, the content of binding obligations can be expanded and refined for the field of climate change. Before the establishment of an IIA, investors should be required to conduct an EIA in accordance with the best international standards and the requirements of domestic laws.[150] As for the content of the EIA, article 13.2 of the SADC Model BIT can be referenced; it includes language requiring consideration of human rights impacts on proposed investments.[151] Climate change factors should, therefore, also be considered as crucial elements when assessing investments.[152] During the investment period, article 14 of the SADC Model BIT and article 18 of the Morocco–Nigeria BIT (2016) regarding environmental management can serve as references for requiring investors to continuously improve environmental management practices and incorporate climate change considerations into their environmental management plans while maintaining consistency with recognised international environmental management standards and good business practice standards. Moreover, investors' regular reporting and information disclosure obligations should be clearly stipulated and require them to regularly submit investment project information related to climate change, including the impact of projects on climate change mitigation and adaptation.[153] For violations of environmental obligations, IIAs can stipulate that investors must bear liability in accordance with the laws of the host state and allow the host state to raise counterclaims against investors.[154]

Regarding CSR clauses for investors, the application of international soft law standards can be strengthened by linking investor compliance with international soft law standards to arbitration access. IIAs can explicitly include the widely accepted United Nations Guiding Principles on Business and Human Rights (UNGPs) or other soft laws issued by the OECD that stipulate that the investor's qualification for arbitration depends on whether it conducts due diligence in accordance with the requirements of the UNGPs.[155] Moreover, the scope of CSR clauses should be expanded to incorporate climate-related requirements. The wording of the CSR clause in article 30 of the Common Market for Eastern and Southern Africa Investment Agreement can serve as a useful reference. Provisions such as 'investors and their investments should pursue their economic goals in a manner that does not conflict with the host country's obligations to mitigate and adapt to climate change' can be included in the scope of CSR clauses.

Under this obligation model, IIAs need to interact and effectively connect with domestic laws. For more detailed investor obligations that are not suitable for inclusion in IIAs, the specific content of the obligations needs to be further clarified and implemented through domestic laws. The existing provisions that are more detailed and clearly stipulate investor obligations are still mainly found in model documents, such as the 2016 Draft Pan-African Investment Code and the SADC Model BIT. General provisions such as those requiring investors to conduct EIAs and to fulfil climate reporting obligations can be clarified in IIAs. However, more specific provisions for investors, such as requiring them to include their net zero goals and commitments, carbon emission profiles, portfolio risk and climate-related financial information, are more suitably dealt with as specific provisions in domestic laws or investment contracts.

6.3 | Rule integration: Systematic optimisation of climate-change-related investor obligation clauses and agreements

To ensure the effective implementation of investor obligation clauses in practice and to further improve the accountability mechanisms for investors, it is essential to systematically review and enhance the overall reform of provisions of IIAs. First, to prevent arbitral tribunals from favouring investor protection while ignoring the interests of host states and investor obligations, more specific arbitral tribunal obligations to review investor obligation clauses should be stipulated. Article 18 of the IISD Model Agreement, and article 18 of the Economic Community of West African States (ECOWAS) Supplementary Act on Investments requires that the arbitral tribunal, when interpreting substantive standards such as MFN, NT and FET provisions shall consider whether the investor has breached its CSR commitments. Article 23 of the Netherlands Model BIT (2019) also provides that the arbitral tribunal should take into account the investor's failure to comply with its CSR commitments when determining the amount of compensation.

To address the issue of investment protection principles suppressing the regulatory rights of host states, the scope of application of investor protection principles should be appropriately restricted, avoiding as much as possible their application to the pre-establishment phase of investments; if investor protection principles need to be applied at the pre-establishment phase, the assessment criteria for 'similar situations' under the principle of investment protection can be clearly stated in IIAs, and the greenhouse gas emissions or environmental characteristics of the investment can be used as criteria to allow differential treatment, thereby safeguarding the

[148] S Murard, 'The Treaty on Sustainable Investment for Climate Change Mitigation and Adaptation: A Model to Steer International Law toward Renewable Energy Investments and the Low-Carbon Transition' (20 June 2020) <https://www.iisd.org/itn/en/2020/06/20/the-treaty-on-sustainable-investment-for-climate-change-mitigation-and-adaptation-a-model-to-steer-international-law-toward-renewable-energy-investments-and-the-low-carbon-transition-sofia-murard/>

[149] Specific practices can be referred to IISD (n 145).

[150] See Morocco–Nigeria BIT (2016) (adopted 3 December 2016) art 14.3; AfCFTA Protocol on Investment (2023) (n 34) art 34; SADC Model BIT (n 32) art 13.

[151] SADC Model BIT (n 32) art 13.2 provides that 'The impact assessments… shall include assessments of the impacts on the human rights of the persons in the areas potentially impacted by the investment, including the progressive realisation of human rights in those areas.'

[152] D Magraw et al, 'Model Green Investment Treaty: International Investment and Climate Change' (2019) 36 Journal of International Arbitration 95, 102.

[153] ibid 119.

[154] See SADC Model BIT (n 32) art 19.

[155] Jarrett et al (n 55) 265.

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exercise of the host state's regulatory power in climate change issues.[156] Furthermore, to prevent investors from exploiting the MFN clause to circumvent the stricter obligations under new IIAs, the scope of 'treatment' covered by the MFN clause can be explicitly defined in new IIAs to exclude investor obligations. For instance, article 8.7(4) of the Canada–EU CETA (2016) stipulates that 'Substantive obligations in other international investment treaties and other trade agreements do not in themselves constitute 'treatment', and thus cannot give rise to a breach of this Art., absent measures adopted or maintained by a Party pursuant to those obligations.'

Second, to ensure the implementation of investor obligations domestically, the regulatory obligations of host states should also be clarified in IIAs, in particular by requiring states to comply with their international treaty obligations and related regulatory duties, thereby strengthening the oversight of investor behaviour. For example, article 23 of the ECOWAS Common Investment Code (2019) requires each member state to affirm its commitment to implement in its national territory the multilateral environmental agreements to which it is a party.[157] In recent years, the EU has increasingly emphasised the implementation of international climate treaties in its FTAs. For example, Art. 32.2 of the EU-Angola Sustainable Investment Facilitation Agreement (2023) stipulates that each party shall 'effectively implement the UNFCCC and the Paris Agreement, including its commitments with regard to its Nationally Determined Contributions.'[158] Article 19.6.3 of the EU-New Zealand FTA (2023) also requires parties to effectively implement the Paris Agreement to refrain from any action or omission that materially defeats the object of the Paris Agreement.

Furthermore, given the difficulties victims face in obtaining relief from domestic courts, IIAs should explicitly stipulate that the host and home state have obligations to ensure that their domestic legal systems provide feasible guarantees for victims who file claims in domestic courts.[159] For example, article 5(3) of the Netherlands Model BIT (2019), citing the basic principles of access to remedies set out in the United Nations Guidelines, emphasises that the contracting parties should take appropriate steps to ensure, through judicial, administrative, legislative or other appropriate means, that when such abuses occur within their territory and/or jurisdiction that those affected have access to an effective remedy. The content of the aforementioned clause does not in any way determine the obligation of investors, but it ensures that investors can be held accountable for the impacts on foreign states of their decisions made in their home state.[160] However, since these clauses have mostly originated from model agreements or agreements that have not yet come into force, the methods and extent to which such clauses can be utilised need to be further explored in practice.

6.4 | Rule coordination: Harmonised development of domestic and international regulations on investor obligations

To effectively implement the rules on investor obligations, it is also necessary to continuously promote the improvement of domestic laws regarding investor responsibility, driven by both external pressure from the international community and the internal needs of home states. States are increasingly expressing their significant concerns regarding sustainable development on the international stage, and sustainable development issues in IIAs are also interacting at the international and domestic levels.[161] In the interaction between international and domestic laws, a trend has emerged where states leverage international law to achieve the objectives of domestic law in terms of protecting national interests, as evidenced by many states to incorporate investor obligations into the texts of a new generation of IIAs to regulate subjects traditionally governed by domestic law.[162] If the domestic laws of the host state do not meet the minimum international environmental protection standards, the investor obligation clauses in IIAs can play a key role in filling the gaps.[163] For example, when domestic law fails to meet international environmental protection standards but an IIA stipulates that investors' conduct should comply with recognised international environmental management standards and good business practices, the host state can then ask the arbitral tribunal to evaluate the investor's behaviour based on the higher international standards. If the content of investor obligations is already contained in domestic law, establishing obligation clauses that overlap with domestic law may be redundant, as the purposes, such as regulating investor behaviour and serving as a basis for host state counterclaims, can be fully achieved through domestic law and clauses requiring investors to comply with domestic law. However, often, the obligation clauses in IIAs are not a simple reiteration of the domestic law obligations of investors but rather additional criteria or requirements.[164]

On the one hand, international investment law can provide guidance for domestic legislation and practice. The legal framework of climate change has the distinctive characteristics that international law precedes and also guides the development of domestic law. While it remains to be seen whether the documents issued at the UN level

[156]Marshall et al (n 125) 64. See also, Brazil - India BIT (2020) (adopted 25 January 2020) art 5.

[157]See also, Brazil - Chile FTA (2018) (adopted 21 November 2018, entered into force 25 January 2022) art 17.4, Australia - United Kingdom FTA (2021) (adopted 17 December 2021, entered into force 31 May 2023) art 13.18.

[158]See also, EU Model Clauses for BITs 2023 (adopted 21 September 2023) art 'Investment and Climate Change', EU - Kyrgyzstan EPCA (2024) (adopted 25 June 2024) art 177.2, Italy Model BIT (2024) (adopted 1 September 2024) Art. 21.2.

[159]Bueno et al (n 100) 211.

[160]SADC Model BIT (n 32) 37.

[161]SR Ratner, 'International Investment Law and Domestic Investment Rules: Tracing the Upstream and Downstream Flows' (2020) 21 Journal of World Investment and Trade 7, 32–33.

[162]W Shen and KZ Su, 'The Interaction Between International Law and Domestic Law and Its Transformation under the Changing Situation' (2024) Exploration and Free Views 96, 98.

[163]IISD (n 145) 6. See also, SADC Model BIT Template with Commentary (n 32) 34–35.

[164]For example, SADC Model BIT (n 32) art 13.1 requires investors to 'comply with environmental and social assessment screening criteria and assessment processes applicable to their proposed investments prior to their establishment, as required by the laws of the Host State for such an investment, or the laws of the Home State for such an investment, or the International Finance Corporation's performance standards on Environmental and Social Impact Assessment, whichever is more rigorous in relation to the Investment in question.'

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regulating the activities of transnational corporations can be effectively translated into binding domestic laws or regulations, they can provide guidance for states to establish domestic legal frameworks to hold transnational investors accountable for their climate responsibilities. International policies on supply chain responsibilities are influencing legislation within individual states and at the EU level. Some states and regions have already adopted, or are in the process of adopting, regulatory documents that transform human rights due diligence principles into binding obligations.[165] For example, the EU officially published the Corporate Sustainability Due Diligence Directive in July 2024, which imposes higher due diligence requirements on EU and non-EU companies of a certain size in terms of human rights and the environment.[166] Germany also passed the Act on Corporate Due Diligence in Supply Chains in 2021, which mandates human rights and environmental due diligence obligations for large companies regarding environmental and labour rights issues within their supply chains, detailing procedures for risk prevention, remediation and complaints.[167]

On the other hand, although IIAs provide a pathway for regulating investor misconduct, ensuring that investors assume social responsibility still requires a strong rule of law guarantee at the national level.[168] From the formulation and application of clauses requiring investors to comply with domestic law to the resolution of obstacles to accountability in the system of court remedies in the investor's home state, the effective implementation of investor obligation clauses in IIAs cannot be achieved without the improvement of domestic legal systems in both the host and home states. Promoting domestic regulatory measures to enforce investor responsibilities can further advance the development of investor obligations, particularly binding obligations, in the substantive rules of international investment law. To address the practical challenges of investor obligation clauses under IIAs, domestic legislation should appropriately develop rules for transnational investor responsibility in the field of climate change. At present, many countries and regions have formulated their own climate change laws, such as the European Climate Change Law,[169] the Philippine Climate Change Law,[170] and the Mexican Climate Change Basic Law.[171] These practices help further foster the consensus among states on attributing climate change responsibility to transnational investors and thereby reducing legal obstacles to regulating investors' climate responsibilities.

7 | CONCLUSION

The inclusion of climate-change-related investor obligations in IIAs is a valuable attempt to promote reforms that balance the regulatory rights of host states and the protection of investor interests to address climate and is also a positive response to the critique of the legitimacy of the international investment regime. Focusing on the unique value that investors can bring to achieving climate governance goals, regulating their adverse impacts on climate change during overseas investments, and guiding them to promote the development of clean energy and climate-friendly projects can help accelerate host states' transition to a low-carbon economy and the realisation of climate governance goals.

At present, investor obligations in IIAs are mainly based on non-binding CSR clauses, with little effect on investor accountability due to their voluntary nature in arbitration practice. Given the textual characteristics of non-binding clauses and the resulting divergences in interpretation and application by arbitral tribunals, non-binding clauses cannot fully manifest the unique value of investor obligation clauses. By comparison, the establishment of binding climate-change-related investor obligation clauses helps to address the deficiencies in the effectiveness of traditional non-binding obligation clauses, but this approach is still in its infancy and naturally faces numerous challenges in practice. At the value level, the divergent economic and political positions of Global North and South states fundamentally limit the progress of regulating transnational investor accountability at the international level. However, driven by the global challenge of climate change, the value conflicts within the international community are expected to gradually diminish. At the rule level, the challenges faced in the establishment, application and enforcement of binding obligation clauses are also not insurmountable.

Jointly applying binding and non-binding obligation rules would be a significant step in the right direction, as would adopting an obligation model of 'compliance with law' clauses to complement investor-binding obligation provisions and international soft law provisions. On the one hand, it is necessary to actively construct binding obligations and constantly promote the elaboration of obligation rules in the field of climate change. On the other hand, attention should be paid to a best practices orientation and ensuring regulatory flexibility in implementing non-binding obligation clauses. By incentivising and guiding investors through non-binding obligation clauses, supplemented by both national and international binding obligations for regulation and assurance, a balance can be forged between the rigidity of hard law and the flexibility of soft law to maximise the value of investor obligation clauses. At the same time, it is essential to systematically review and improve the various clauses of IIAs, such as investment protection clauses and state obligation clauses, in order to promote the improvement of climate-change-related investor obligation clauses and the process of reforming the international investment

[165] YX Tang, 'Research on the Considerations and Typology of Mandatory Human Rights Due Diligence Legislation' (2022) Chinese Journal of Human Rights 39, 43.

[166] Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859 [2024] OJ L 2024/1760.

[167] Germany Federal Ministry of Labour and Social Affairs, 'Act on Corporate Due Diligence in Supply Chains' (2021) <https://www.csr-in-deutschland.de/SharedDocs/Downloads/EN/act-corporate-due-diligence-obligations-supply-chains.pdf?__blob=publicationFile> section 5–8.

[168] Feo (n 84) 27.

[169] Regulation (EU) 2021/1119 of the European Parliament and of the Council of 30 June 2021 establishing the framework for achieving climate neutrality and amending Regulations (EC) No 401/2009 and (EU) 2018/1999 ('European Climate Law') [2021] OJ L 234/1.

[170] Climate Change Act of 2009 [2009] Republic Act No. 9729 <https://climate.emb.gov.ph/?page_id=68>.

[171] General Law of Climate Change (Ley General de Cambio Climático) [2012] DOF 06-06-2012 <https://climate-laws.org/documents/general-law-on-climate-change_acd7?id=general-law-on-climate-change_14c5>.

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system to be sustainable. Through the coordinated development of domestic and international regulations and the dual design of domestic and international rules, regulations pertaining to transnational investors can be better tailored to ensure they fulfil their obligations in addressing climate change.

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DATA AVAILABILITY STATEMENT

The data can be made available to the public.

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